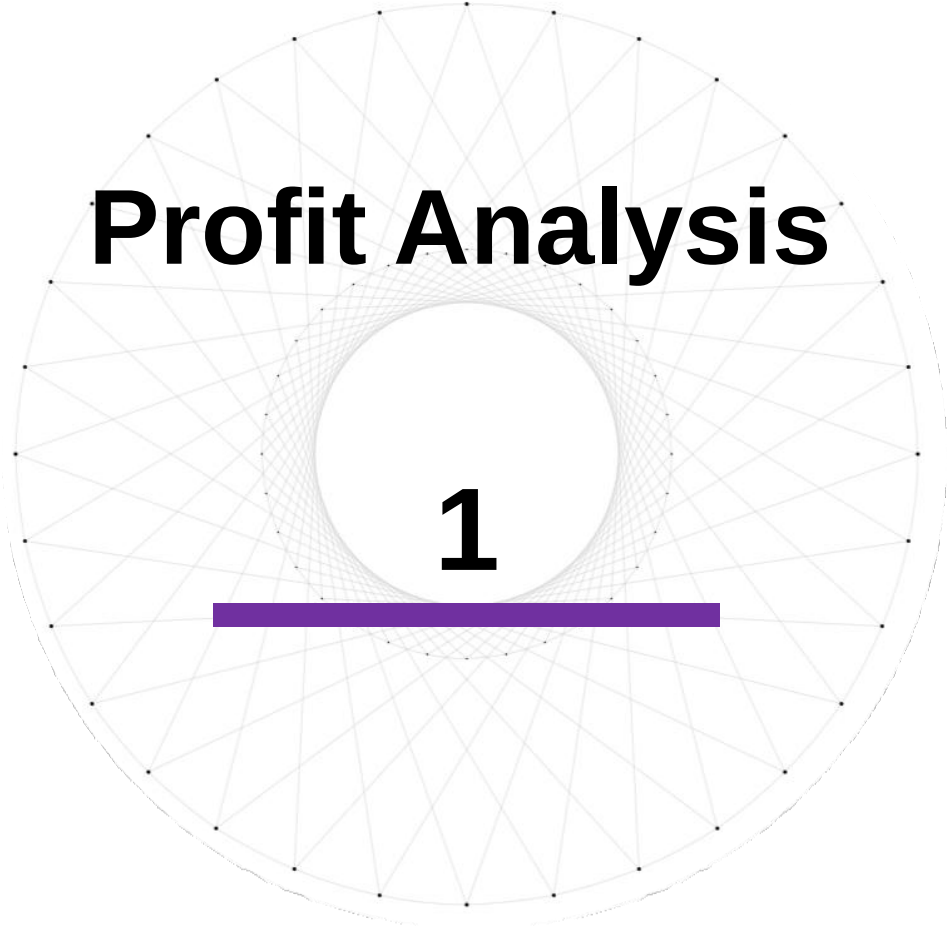




ROI Analysis of BSS System

Qingdao Kretto Technology Co., Ltd.



1.1 Initial Total Cost of BSS System

Item		Amount (USD)
Office investment		US\$1,408,451
Initial equipment investment	1 set of BSS+10000 pcs of data collectors	US\$1,591,549
Sales and after-sales expenses (including travel expenses, other expenses, etc.)		US\$4,225,352
Office expenses		US\$422,535
Annual personnel cost (first year)		US\$12,070,423
Total		<u>US\$19,718,310</u>

Office cost breakdown:

Office 1500 m²

Server room 200 m²

Laboratory 300 m²

Total: 2,000 m²

Self built plus decoration cost: 5000/m²

Total investment: US\$1,408,451

Equipment investment cost details:

1 server set (for 200,000 vehicles): US\$676,056

10,000 data collectors: US\$915,493

Total cost: US\$1,591,549

1.1 Initial Total Cost of BSS System

Personnel List and Cost

Item	Number of personnel	Annual salary	Total cost
CEO	1	US\$211,268	US\$211,268
Technical expert	2	US\$169,014	US\$338,028
Technician	50	US\$126,761	US\$6,338,028
After sales personnel	200	US\$16,901	US\$3,380,282
Sales personnel (Asia, Africa, Middle east, etc.)	80	US\$14,085	US\$1,126,761
Sales personnel (European and American)	20	US\$28,169	US\$563,380
Administrative personnel	4	US\$14,085	US\$56,338
Financial staff	4	US\$14,085	US\$56,338
<u>Total</u>	361		US\$12,070,423

1.2 ROI of BSS System

1.2.1 Annual Fixed and Variable Costs

Item		Description	Amount
Office investment		20-year amortization	US\$70,423
Initial equipment investment	1 set of BSS+10,000 pcs of data collector	10-year amortization	US\$159,155
Office expenses		Estimate	US\$422,535
<u>Annual fixed cost</u>			<u>US\$652,113</u>

Variable cost	2025	2026	2027	2028	2029
Annual personnel cost	US\$ <u>12,070,423</u>	US\$ <u>18,830,986</u>	US\$ <u>22,211,268</u>	US\$ <u>25,591,549</u>	US\$ <u>32,352,113</u>
Sales expenses (including travel expenses, other expenses, etc.)	US\$ <u>4,225,352</u>	US\$ <u>9,859,155</u>	US\$ <u>12,676,056</u>	US\$ <u>15,492,958</u>	US\$ <u>21,126,761</u>

*The number of after-sales service personnel in personnel costs increases year-on-year in proportion to market growth.

*Sales expenses and travel expenses increase year-on-year in proportion to market growth.

1.2 ROI of BSS System

1.2.2 Market Outlook for BSS System Electric Vehicles

Outlook for the Chinese Electric Vehicle Market	Unit	2022	2023	2024	2025	2026	2027	2028	2029
Accumulated number of electric vehicles	Set	13,100,000	16,000,000	20,000,000	25,600,000	32,768,000	41,943,040	53,687,091	68,719,477
Increased number of electric vehicles	Set		2,900,000	4,000,000	5,600,000	7,168,000	9,175,040	11,744,051	15,032,386
Growth rate	%		22%	25%	28%	28%	28%	28%	28%

Outlook for the European and American Electric Vehicle Market	Unit	2022	2023	2024	2025	2026	2027	2028	2029
Accumulated number of electric vehicles	Set	8,050,000	9,300,000	10,695,000	12,299,250	14,144,138	16,265,758	18,705,622	21,511,465
Increased number of electric vehicles	Set		1,250,000	1,395,000	1,604,250	1,844,888	2,121,621	2,439,864	2,805,843
Growth rate	%		16%	15%	15%	15%	15%	15%	15%

Africa, America, Asia and other regions	Unit	2022	2023	2024	2025	2026	2027	2028	2029
Accumulated number of electric vehicles	Set	6,000,000	7,130,000	9,420,000	11,304,000	13,564,800	16,277,760	19,533,312	23,439,974
Increased number of electric vehicles	Set		1,800,000	1,620,000	1,884,000	2,260,800	2,712,960	3,255,552	3,906,662
Growth rate	%		19%	21%	20%	20%	20%	20%	20%

1.2 ROI of BSS System

1.2.3 Estimation of Sales in the BSS System EV Market

Chinese Market		Unit	2025	2026	2027	2028	2029	Total
EV BSS Diagnostic Services	Target market share	%	5%	15%	20%	25%	35%	
	Number of users	Set	1,280,000	4,915,200	8,388,608	13,421,773	24,051,817	
	Monthly fee	USD	2.11	2.11	2.11	2.11	2.11	
	Annual sales revenue	Million USD	32.39	125.35	212.68	340.85	609.86	1,319.72

European & American Market		Unit	2025	2026	2027	2028	2029	Total
EV BSS Diagnostic Services	Target market share	%	5%	15%	20%	25%	35%	
	Number of users	Set	614,963	2,121,621	3,253,152	4,676,405	7,529,013	
	Monthly fee	USD	3.52	3.52	3.52	3.52	3.52	
	Annual sales revenue	Million USD	25.35	90.14	138.03	197.18	318.31	769.01

Africa, America, Asia and other regions		Unit	2025	2026	2027	2028	2029	Total
EV BSS Diagnostic Services	Target market share	%	5%	15%	20%	25%	35%	
	Number of users	Set	565,200	2,034,720	3,255,552	4,883,328	8,203,991	
	Monthly fee	USD	2.11	2.11	2.11	2.11	2.11	
	Annual sales revenue	Million USD	14.08	52.11	83.10	123.94	208.45	480.28

1.2 ROI of BSS System

1.2.4 Outlook and Sales Estimation of BSS System Energy Storage Market

Outlook for the World's New Energy Storage Market	Unit	2022	2023	2024	2025	2026	2027	2028	2029
Accumulated installation quantity	GWh	80	114	166	241	349	506	734	1,064
Increased installation volume	GWh		34	52	75	108	157	228	330
Growth rate	%		43%	46%	45%	45%	45%	45%	45%

World's New Energy Storage Market		Unit	2025	2026	2027	2028	2029	TOTAL
ESS Market BSS Diagnostic Services	Target market share	%	5%	15%	20%	25%	35%	
	Target battery capacity	GWH	12	52	101	183	372	
	Monthly fee	USD	117,323	117,323	117,323	117,323	117,323	
	Annual sales revenue	Million USD	16.90	73.24	142.25	257.75	523.94	1014.08

1.2 ROI of BSS System

1.2.5 ROI of BSS System

Summary of Sales Amount		Unit	2025	2026	2027	2028	2029
EV BSS Diagnostic Services	Chinese market	Million USD	32.39	125.35	212.68	340.85	609.86
	European and American markets		25.35	90.14	138.03	197.18	318.31
	Other markets		14.08	52.11	83.10	123.94	208.45
ESS BSS Diagnostic Services	Global		16.90	73.24	142.25	257.75	523.94
Total			88.73	340.85	576.06	919.72	1,660.56
ROI		%	364%	1580%	2741%	4453%	8147%

- Initial total investment cost: US\$19,718,310
- Annual fixed cost :US\$652,113
- The number of after-sales service personnel increases year-on-year according to the market growth rate.
- Sales expenses and travel expenses increase year-on-year according to the market growth rate.
- **Return on Investment (ROI) = (Annual Profit - Annual Fixed Costs - Variable Costs) / Initial Total Investment Cost**

Investment Advice

2

Business Target
(Middle-term)

By 2029, the sales revenue will reach over **1.66 billion US Dollar**
the **operating profit will exceed 50%**

Required Funds

Seed Investment
19.72 million
US Dollar

Financial security

April, 2024

Required period

October, 2024
~
June, 2025
(8 months)

Required items

- Establishing of local legal entity and operating expenses
- Constructing a central server and setting up an exhibition hall for S/W, as well as marketing and promotional expenses
- Product development upgrade
- BSS production for the initial market